

SENATE BILL 675

By Taylor

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 8 and Title 67, relative to political
subdivisions.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 8, Chapter 6, Part 4, is amended by
adding the following as a new section:

(a) As used in this section, "political subdivision" means a county, city, town,
municipality, or metropolitan government.

(b) At the request of a member of the general assembly, the attorney general
and reporter shall investigate an ordinance, regulation, order, or other official action
adopted or taken by the chief executive officer or governing body of a political
subdivision or any written policy, written rule, or written regulation adopted by any
agency, department, or other entity of the political subdivision that the member alleges
violates, or that would violate if enacted or enforced, state law or the Constitution of
Tennessee.

(c)

(1) The attorney general and reporter shall make a written report of
findings and conclusions as a result of the investigation within thirty (30) days
after receipt of the request and shall provide a copy of the report to the governor,
the speaker of the senate, the speaker of the house of representatives, the
member or members of the general assembly making the original request, and
the secretary of state.

(2) If the attorney general and reporter concludes that the ordinance, regulation, order, written policy, written rule, or other action under investigation:

(A) Violates, or would violate if enacted or enforced, a provision of state law or the Constitution of Tennessee, the attorney general and reporter shall provide notice to the political subdivision, by certified mail, of the violation and shall indicate that the political subdivision has thirty (30) days to resolve the violation;

(B) May violate, or may violate if enacted or enforced, a provision of state law or the Constitution of Tennessee, the attorney general and reporter shall file a special action in the supreme court to resolve the issue, and the supreme court shall give the action precedence over all other cases; or

(C) Does not violate any provision of state law or the Constitution of Tennessee, the attorney general and reporter shall take no further action pursuant to this section.

(d) If the attorney general and reporter determines that the local government has failed to resolve the violation within thirty (30) days of the notification pursuant to subdivision (c)(2)(A), or within thirty (30) days of the supreme court determining that the ordinance, regulation, order, written policy, written rule, or other action violates, or would violate if enacted or enforced, a provision of state law or the Constitution of Tennessee pursuant to subdivision (c)(2)(B), then the attorney general and reporter shall:

(1) Certify that the violation has not been resolved to the commissioner of revenue, who shall withhold local option sales and use tax revenues from the political subdivision pursuant to § 67-6-712(g); and

(2) Continue to monitor the response of the local government, and when the offending ordinance, regulation, order, written policy, written rule, or other action is repealed or the violation is otherwise resolved, the attorney general and reporter shall notify:

(A) The governor, the speaker of the senate, the speaker of the house of representatives, and the member or members of the general assembly making the original request that the violation has been resolved; and

(B) Certify that the violation has been resolved to the commissioner of revenue, who shall restore the distribution of local option sales and use tax revenues to the political subdivision pursuant to § 67-6-712(g).

(e) Before a member of the legislature may request an investigation by the attorney general and reporter of a written policy, written rule, or written regulation adopted by an agency, department, or other entity of a political subdivision pursuant to subsection (b), the member of the general assembly shall first provide a written notification of the alleged violation of state law or the Constitution of Tennessee to the chief executive officer and governing body of the political subdivision. If the political subdivision does not repeal or otherwise resolve the violation within sixty (60) days after receiving the notification, the member of the general assembly may request an investigation by the attorney general and reporter pursuant to this section.

(f) Notwithstanding subdivision (d)(1), this section does not authorize the withholding of funds allocated to a local government that would violate contracts to which the state is a party, the requirements of federal law imposed on the state, judgments of a court binding on the state, or obligations of the state under the Tennessee Constitution.

SECTION 2. Tennessee Code Annotated, Section 67-6-712, is amended by adding the following as a new subsection:

(g) Notwithstanding the allocations provided for in subsection (a) or this part, upon certification from the attorney general pursuant to SECTION 1 that an ordinance, regulation, order, written policy, written rule, or other action adopted or enforced by a county, city, town, municipality, or metropolitan government violates state law or the Constitution of Tennessee, the commissioner shall withhold the distribution of proceeds from a tax levied by a county, city, town, municipality, or metropolitan government under this part from such political subdivision, as applicable, and must continue to withhold such proceeds until the attorney general certifies to the commissioner that the violation has been resolved.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.